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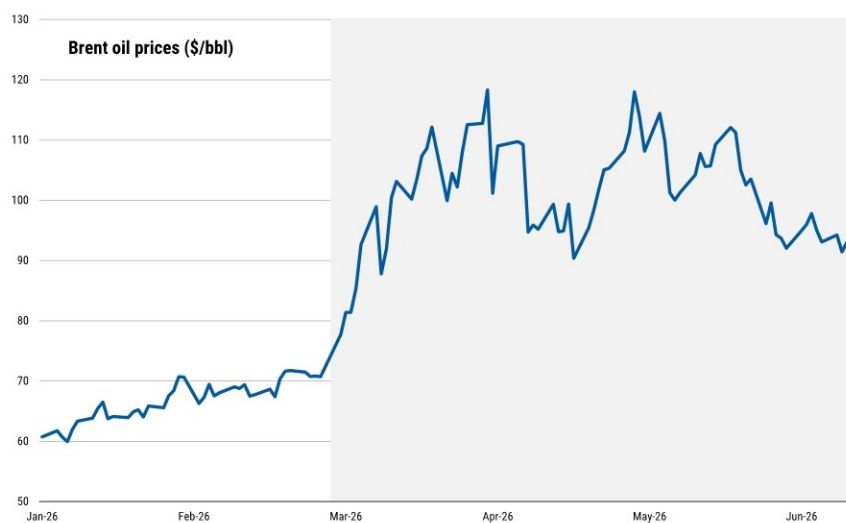
Reassessing risks to our Fed call after the latest data

Last week's data suggest that, on net, the balance of risks is shifting toward firmer inflation rather than weaker hiring. The labor market continues to firm, and while the tariff impulse appears to be nearing completion, sustained disinflation ahead depends on a resolution of the conflict.

Key Takeaways

- The labor market has strengthened, reducing downside risks and shifting the Fed's focus back toward inflation.
- CPI came in line with expectations, suggesting the payback in core goods is underway.
- However, a strong core PCE translation following PPI (0.36% m/m in May) indicates that the oil impulse to core persists—primarily through airfares.
- The extent of airfare payback—and broader core disinflation—will depend on how long the Strait of Hormuz remains disrupted.
- Consumption has been running slightly above wealth-implied levels, and we expect limited upside risks to real spending growth.

Exhibit 1: The longer oil prices remain elevated, the greater the risk of second-round effects on core inflation.



Source: Bloomberg, Morgan Stanley Research

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For important disclosures, refer to the Disclosure Section, located at the end of this report.

Reassessing risks to our Fed call after the latest data

When we wrote [our outlook](#), we highlighted two scenarios under which inflation would run higher and the Fed would either remain on hold for longer or potentially hike rates: a demand push scenario, and one featuring a persistent oil premium stemming from a prolonged US-Iran conflict.

In the demand push scenario, stronger consumption and business investment—supported by elevated wealth and improving confidence—drive a reacceleration in growth and tighter labor market conditions. As a result, inflation pressures remain firm even as oil dynamics normalize, with tighter labor markets reinforcing persistence in core inflation and ultimately prompting the Fed to begin hiking once it becomes clear that the strength reflects demand rather than productivity. By contrast, in the permanent oil premium scenario, oil prices remain structurally elevated, leading to sustained supply side pressures and gradual pass through into core prices. While growth is somewhat softer, inflation remains persistently above target, keeping the Fed cautious and on hold with a high bar for easing.

The recent developments in the Middle East, together with last week's employment report and this week's inflation data, suggest that both scenarios may be becoming more likely than we initially anticipated.

On net, the data indicate that the balance of risks is shifting in the direction of firmer inflation over weak hiring. This is different from a year ago when the Fed said downside risk to labor markets outweighed inflation concerns and cut its policy rate by 75bp,

The employment report pointed to a labor market that continues to firm. [Payroll growth has reaccelerated, with the three month average rising to around 188k](#), a clear improvement relative to last year and stronger than both our expectations and likely those of the Fed. This strength should alleviate concerns about downside risks to the labor market and reinforce the shift in the balance of risks toward inflation.

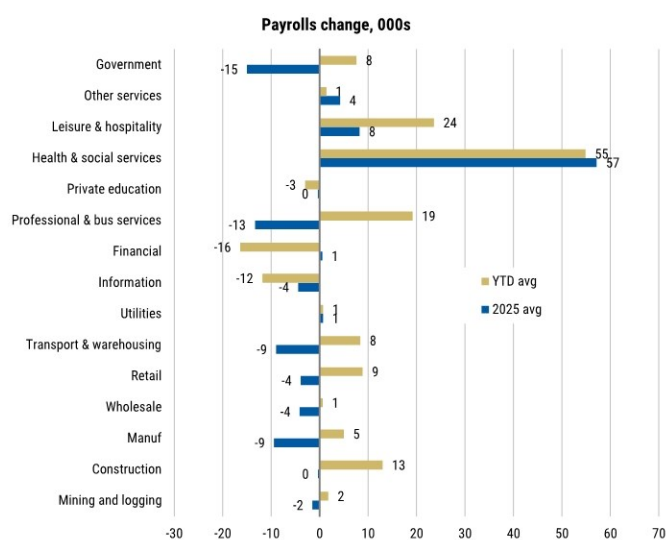
At the same time, the unemployment rate remains low and broadly stable at around 4.3%. The key question is whether labor markets will tighten further, as in our demand push scenario. That, in turn, depends on the extent to which higher energy prices weigh on activity. The impact of oil shocks typically happens with a lag, suggesting some risk of a slowdown ahead. However, if that deceleration does not materialize and payroll growth remains around 100k—well above our estimated breakeven pace of roughly 50k—we would expect continued downward pressure on the unemployment rate. If sustained, this dynamic would move the labor market closer to our demand push scenario, raising the likelihood that the Fed shifts from a hold to a hiking stance.

On inflation, the May CPI data broadly aligned with our expectations but PPI data and our translation to PCE inflation surprised us to the upside. Core CPI came in at 0.21% m/m, with signs that the payback from earlier goods inflation has started. Tariff pass through appears to be nearing completion, with core goods prices turning negative on the month, and there were limited signs of broader spillovers from AI or oil into goods categories.

However, the translation into core PCE following the PPI release was stronger than expected. We now estimate core PCE increased 0.36% m/m in May, implying a y/y pace of 3.4%. This upward revision was driven in part by stronger than expected services components, including a notable pickup in airfares—particularly international fares—suggesting that oil related pressures continue.

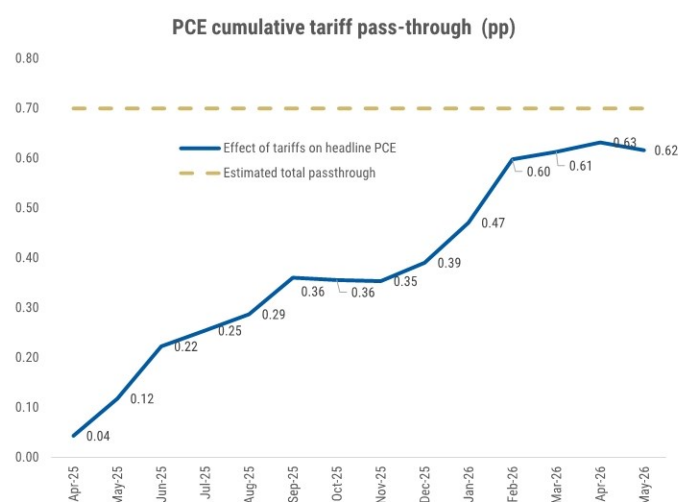
While the oil impulse to core remains relatively narrow for now, the sharper than expected acceleration in airfares highlights potential upside risks. We continue to expect some of this strength to unwind over time, generating a payback in services inflation. However, in the absence of a near term resolution to the conflict—consistent with our permanent oil premium scenario—it would become increasingly difficult to see core PCE ending the year below 3%/y, fast disinflation and Fed cuts in 2027.

Exhibit 2: A broad-based acceleration in payrolls so far this year



Source: BLS, Morgan Stanley Research.

Exhibit 3: The tariff pass-through may be near completion, but a prolonged conflict adds upside risks



Source: BEA, BLS, Morgan Stanley forecasts.

Consumption support from a low saving rate has limits

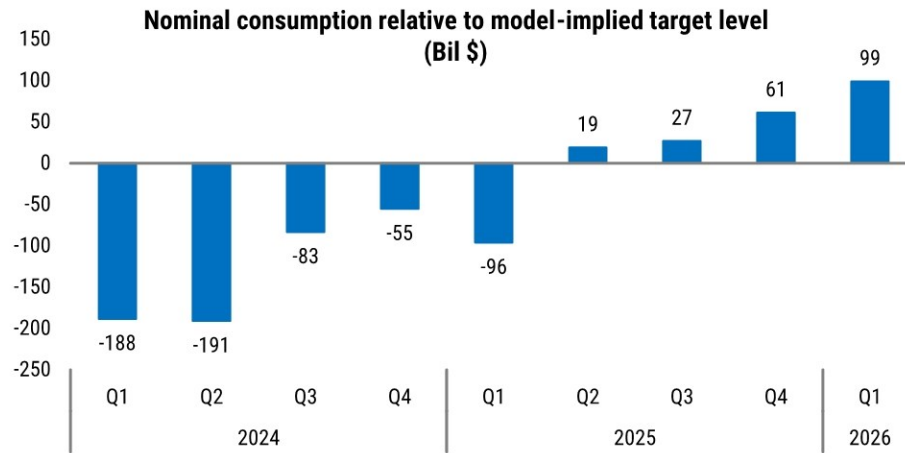
In our 2026 outlook, we expected that real consumer spending growth would take a backseat in driving headline real GDP growth for much of the year. The drag is largely cyclical and front loaded: tariff effects weighed on real purchasing power in 1Q, while the subsequent oil disruption is acting as an effective tax on households through 2Q and 3Q. In that environment, growth has rotated away from consumption toward other components, even as underlying demand has remained broadly intact.

Taking stock of incoming data, the pace of spending is tracking close to expectations. Real consumption growth had slowed to 1.4% q/q saar in 1Q26. Beneath the surface, the drivers of spending have improved modestly. Recent labor market gains imply that the nominal payroll proxy for production and non-supervisory workers is running a solid pace: 5.5% in April and May over the 1Q average (2m/3m % saar), and 4.4% for all employees. However, headline PCE growth in 2Q will continue to pressure real labor market income; a further acceleration in the labor market this summer could lead to real wage growth closer to flat, rather than slightly negative, and could incrementally support near-term consumption momentum.

At the same time, while the overall balance sheet of the consumer continues to be healthy, there could be some headwinds. Nominal household wealth gains slowed in 1Q26 with implications for how much upside risk there could be for consumption going forward. Our wealth model indicates that consumption has been running above levels implied by household wealth for the last year, suggesting some upside risk to the saving rate and, correspondingly, downside risk to spending. So, while income dynamics are likely stabilizing, the upside risk to consumption growth from wealth effects is much less likely.

Our view then is that real consumption growth is so far evolving largely in line with our baseline: a slower pace of growth most of this year, with some acceleration in 4Q26 onwards, but not a primary driver of growth. Risks around this profile remain skewed slightly to the downside if cyclical factors turn less favorable due to an extended oil disruption, particularly from slower income growth or asset market volatility. Absent a more durable acceleration in labor market momentum and “animal spirits,” we see limited scope for a material upside surprise to consumer spending from here.

Exhibit 4: The pace of net wealth gains for households have slowed, and nominal consumption has been overshooting wealth-implied target levels



Source: Federal Reserve Board, BEA, Haver Analytics, Morgan Stanley Research

Exhibit 5: There could be some upside risk to the saving rate, if the cyclical factors in the economy turn less supportive in 2H26



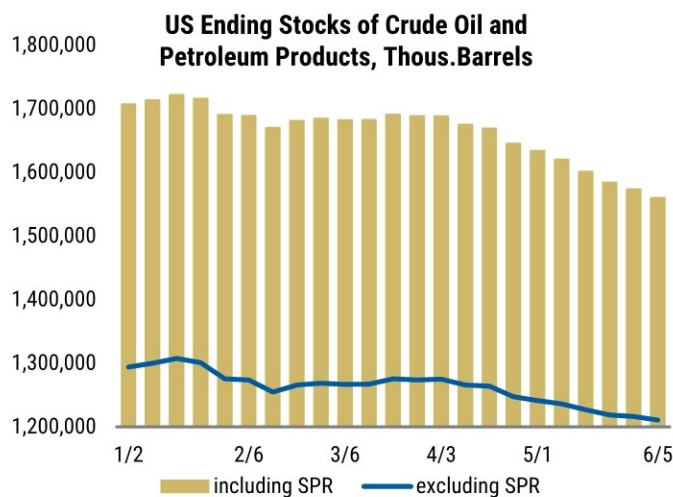
Source: BEA, Haver Analytics, Morgan Stanley Research

Oil Tracker: US ending stocks of crude oil edge lower amid increased exports and unchanged production

We continue to track the evolution of inventory and production amid the ongoing Middle East conflict. US ending inventory stocks of crude oil and petroleum products, which represents the EIA's estimate of how many barrels of oil and petroleum products are physically sitting in US storage at period end, continue to move lower. Inclusive of the SPR, inventory stocks are falling by about 2mn barrels a day. The spot price of oil for immediate purchase and delivery in the physical market remains elevated, despite futures prices moving lower on prospects for a near-term agreement between the US and Iran.

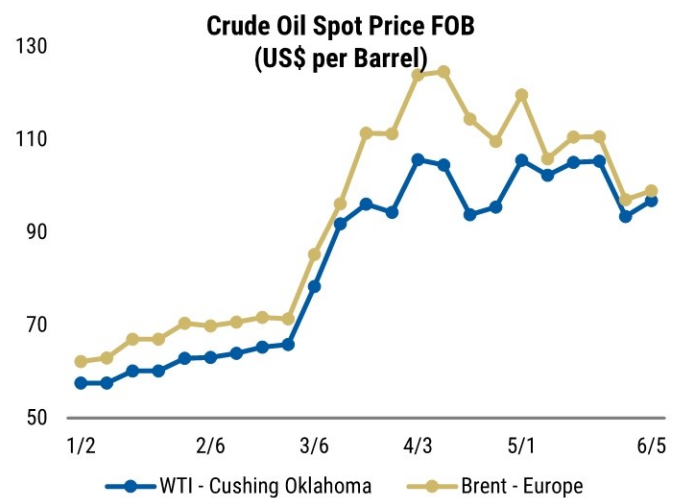
US domestic crude production has edged modestly higher in recent weeks, but it remains about in line with pre-conflict production. Net imports of oil (imports - exports) are declining because of increased oil exports.

Exhibit 6: US ending stocks of crude oil continue to move lower



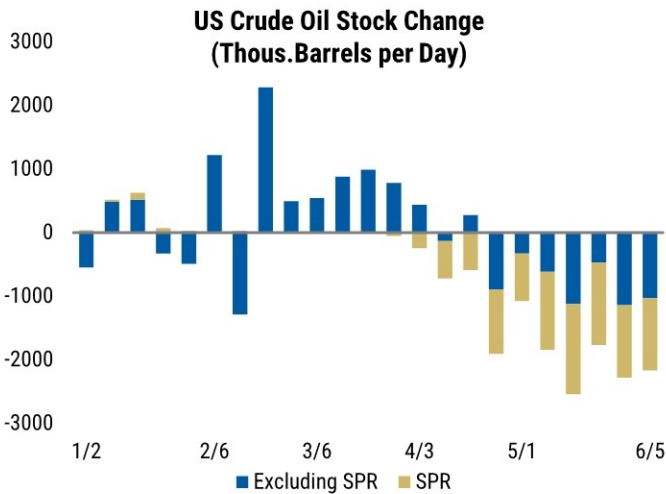
Source: Energy Information Administration, Haver Analytics, Morgan Stanley Research

Exhibit 7: Prices of oil in the physical market remain elevated



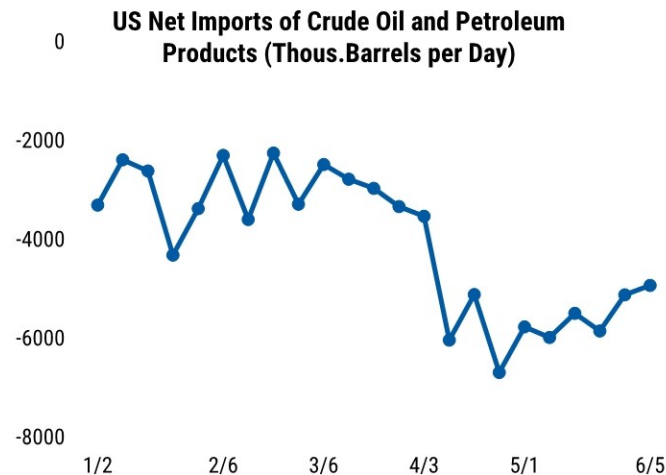
Source: Energy Information Administration, Haver Analytics, Morgan Stanley Research

Exhibit 8: Including the SPR, US oil stocks are falling about 2mn barrels per day



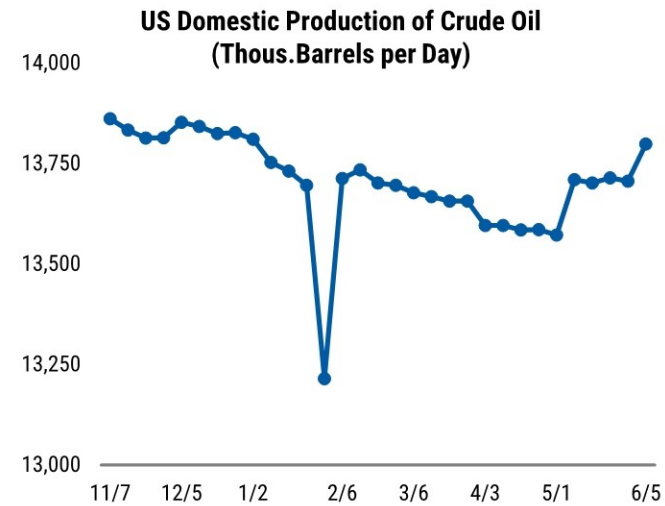
Source: Energy Information Administration, Haver Analytics, Morgan Stanley Research

Exhibit 10: US exports of oil and petroleum products have risen, pushing down net imports of these energy goods



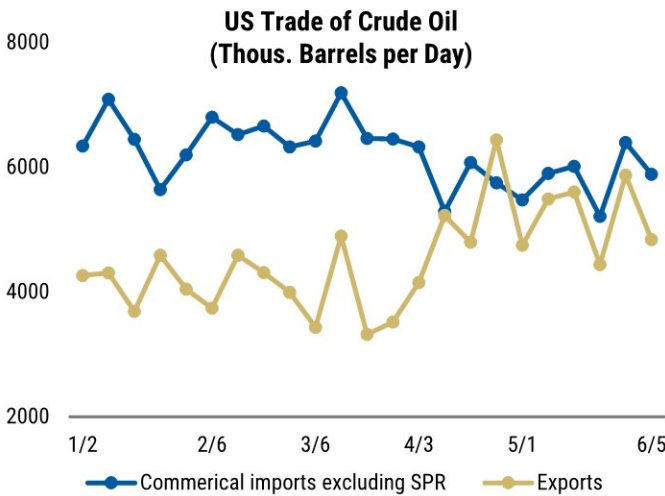
Source: Energy Information Administration, Haver Analytics, Morgan Stanley Research

Exhibit 9: US domestic oil production remains broadly unchanged



Source: Energy Information Administration, Haver Analytics, Morgan Stanley Research

Exhibit 11: US imports of oil have decelerated a little while exports have picked up



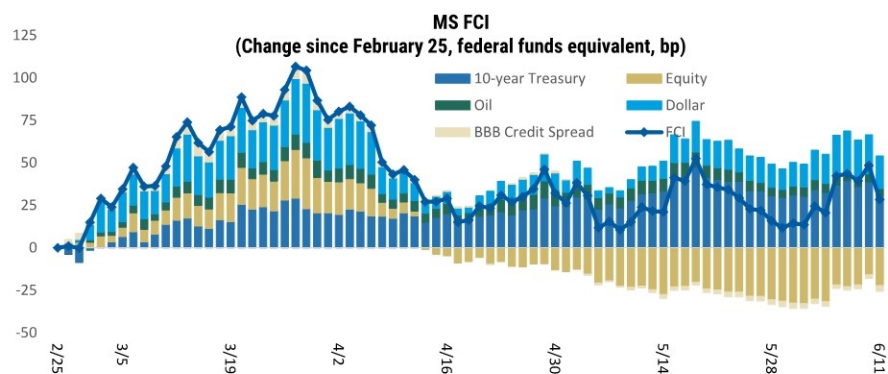
Source: Energy Information Administration, Haver Analytics, Morgan Stanley Research

Financial Conditions: A near-reversal following the April 7 ceasefire

Following the conflict in the Middle East and the uncertainty it brings to the next steps for monetary policy, we include the evolution of our FRB/US-based model of financial conditions, which aims to capture how changes in asset prices weigh on future economic activity. The index includes five daily variables: the 10-year Treasury yield, S&P 500 returns, the corporate BBB credit spread, the valuation of the U.S. dollar, and the price of oil. These are aggregated based on their estimated growth elasticities relative to the federal funds rate, using the Federal Reserve's FRB/US model. As a result, the index can be interpreted as the equivalent change in the federal funds rate, expressed in basis points, required to generate a similar effect on economic activity.

Since hostilities in the Middle East began on February 28, the tightening in financial conditions is equivalent to about a 28bp rise in the federal funds rate. Since the April 7 ceasefire announcement, however, financial conditions have eased by 44bps. The tightening reversed all of the easing seen earlier this year, most of which occurred between the December and January FOMC meetings and was primarily driven by a weaker U.S. dollar. The net tightening since February 28 has been driven mainly by higher 10-year U.S. Treasury yields, with dollar appreciation and higher oil prices playing a secondary role. Buoyant equity markets and tighter credit spreads have offset some of the tightening.

Exhibit 12: Financial conditions have tightened following the conflict in the Middle East



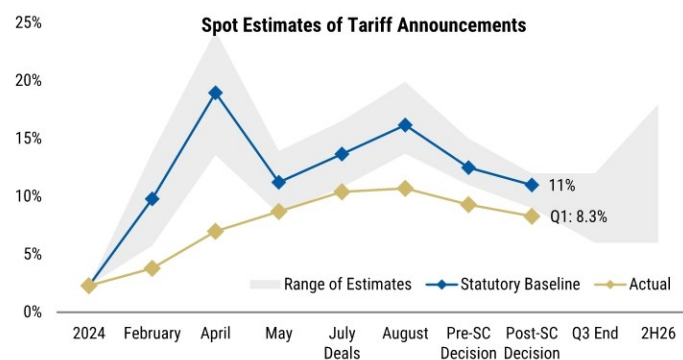
Source: Bloomberg, Morgan Stanley Research

The effective tariff rate, tariff receipts and refunds

The tariff rate on US imports has fallen to 8.3% in 1Q26 data

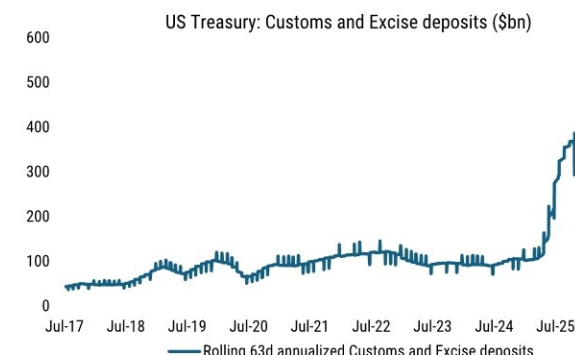
On February 20, 2026, the Supreme Court [struck down](#) the President's authority to impose tariffs under IEEPA. Section 122 tariffs will replace IEEPA tariffs in the short term, though uncertainty rises after the 150-day period when Congress would need to extend those tariffs. Replacing IEEPA with Section 122 tariffs of 15% and considering composition effects of US imports, [we estimate baseline](#) tariffs near 11%. Our estimate of "core" tariffs (ex fuels, gold and AI-related imports) remains closer to 13-14%. In our view, near-term tariffs are likely capped below 'Liberation Day' levels, at least until Section 232 and 301 investigations are complete. In the April 2026 data, the effective tariff rate is estimated at ~6.9%, and the 1Q26 tariff rate averages to 8.3%.

Exhibit 13: US effective tariff rate



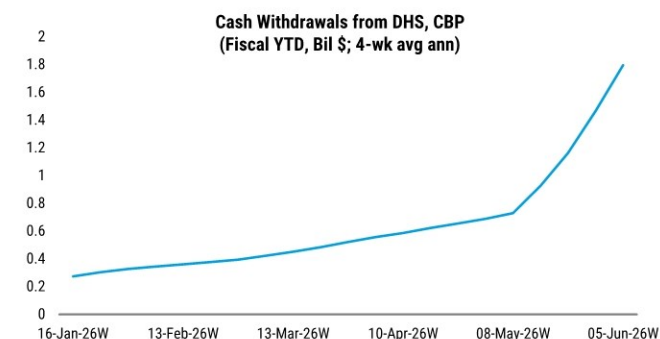
Source: US Census, US HTS, USITC, Morgan Stanley Research

Exhibit 14: US Treasury: Customs and excise deposits from tariffs



Source: US Treasury, Bloomberg, Morgan Stanley Research

Exhibit 15: Cash withdrawals from the DHS - CBP, as a proxy for tariff refunds



Source: US Treasury, Haver Analytics, Morgan Stanley Research

Tariff refunds represent cash returned to importers when customs duties were previously overpaid or later determined to be refundable, for different reasons including a tariff exclusion or court-ordered refund, or a drawback claim tied to goods that are exported or destroyed. The process generally runs through CBP, where importers or brokers submit the relevant claim and supporting documentation; CBP then reviews eligibility, confirms the entry and status, and certifies approved refunds for payment. In Treasury cash-flow data, we monitor these payments at high frequency through CBP-related withdrawals in the Daily Treasury Statement. We interpret this as a tariff-refund proxy.

2Q GDP Tracking at 2.8%

Trade data pushed our tracking estimate of 2Q real GDP growth up by 0.1 pct pt to a 2.8% q/q annual rate. The pace exceeds the 2.3% baseline estimate that we published our [US Economics Mid-Year Outlook](#) because of consumption and exports.

The Atlanta Fed tracking rose to 3.3% from 3.0% on factory shipments and existing home sales. They include larger drags from trade and inventories than we are estimating but stronger consumption, business investment, and residential investment. The New York Fed 2Q GDP nowcast rose two tenths to 2.7%.

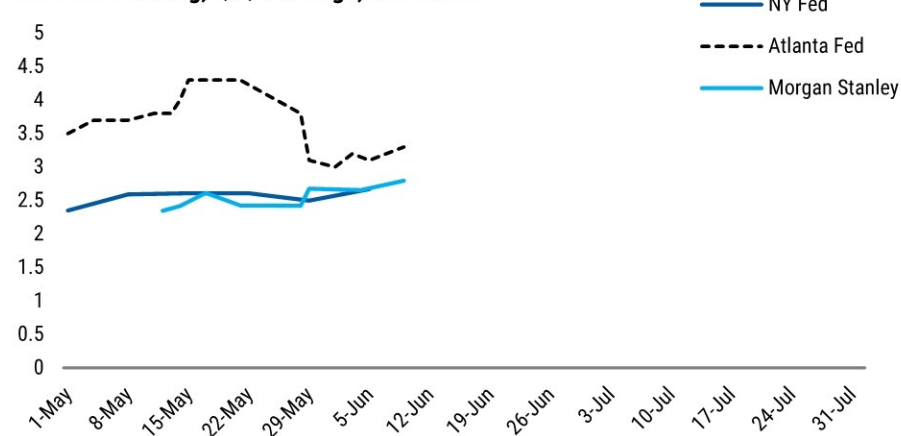
Exhibit 16: The effect of incoming data on our US GDP tracking estimate

Details of Q2 2026 US GDP tracking (% q/q saar unless indicated)														
Date	Data release		GDP	Final sales	PCE	Res	Equip	Struct	IPP	Gov	X	M	NX (level)	CIPI (level)
12-May	Baseline		2.3	2.3	1.7	1.0	8.0	-3.0	8.0	1.4	0.0	-0.1	-1067	-5
14-May	Retail sales	Apr	2.4	2.4	1.8	1.0	8.0	-3.0	8.0	1.4	0.0	-0.1	-1067	-5
	Adjustments		2.6	2.8	2.5	1.0	8.0	-3.0	8.0	1.4	0.0	-0.1	-1067	-19
21-May	Quarterly Services Survey	1Q	2.4	2.6	2.2	1.0	8.0	-3.0	8.0	1.4	0.0	-0.1	-1067	-19
28-May	Post GDP revision	1Q	2.4	2.6	2.2	1.0	8.0	-3.0	8.0	1.4	0.0	-0.1	-1067	-19
29-May	Trade & trade effects on business investment	Apr	2.7	3.0	2.2	1.0	8.0	-3.0	8.0	1.4	13.0	7.5	-1048	-46
4-June	Motor vehicle sales, PCE price estimates	May	2.7	3.0	2.2	1.0	8.0	-3.0	8.0	1.4	13.0	7.5	-1048	-46
9-June	Trade & trade effects on business investment	Apr	2.8	3.1	2.2	1.0	8.0	-3.0	8.0	1.4	13.0	6.5	-1039	-46
GDP tracking			2.8	3.1	2.2	1.0	8.0	-3.0	8.0	1.4	13.0	6.5	-1039	-46
Contribution to GDP growth (pp)			3.1	1.5	0.0	0.4	-0.1	0.5	0.2	1.4	-0.9	0.5	-0.3	
Morean Stanley official forecast			2.3	2.3	1.7	1.0	8.0	-3.0	8.0	1.4	0.0	-0.1	-1067	-5

Note: Our GDP tracking estimate is distinct from our official published GDP forecast. It reflects the mechanical aggregation of monthly activity data that feed directly into the BEA's calculation. Where data releases have implications for the tracking components, cells have been bolded. Final sales is GDP less inventories. Source: Morgan Stanley Research

Exhibit 17: GDP nowcasts

Real GDP tracking, Q/Q % change, annual rate



Source: Federal Reserve Banks of New York and Atlanta, Morgan Stanley Research

Data review & preview

Review of past week's data

Exhibit 18:

Monday 08 June	Data	Period	Forecast	Consensus	Prev	Actual
11:00 AM	NY Fed 3-Yr Inflation Expectations	May		3.7	3.2	3.5
Tuesday 09 June	Data	Period	Forecast	Consensus	Prev	Actual
6:00 AM	NFIB Small Business Optimism	May		96.0	95.9	95.3
8:15 AM	ADP Weekly Employment Change	23-May			36	31
8:30 AM	Trade Balance	Apr	-57.5	-56.1	-60.3	-55.9
10:00 AM	Existing Home Sales	May	4.10	4.07	4.02	4.2
10:00 AM	Existing Home Sales m/m	May	2.0	1.1	0.2	3.2
10:00 AM	Wholesale Inventories m/m	Apr F		0.6	0.5	0.6
10:00 AM	Wholesale Trade Sales m/m	Apr		1.2	2.8	2.0
Wednesday 10 June	Data	Period	Forecast	Consensus	Prev	Actual
7:00 AM	MBA Mortgage Applications	5-Jun			0.0	10.8
8:30 AM	CPI m/m	May	0.56	0.5	0.6	0.5
8:30 AM	Core CPI m/m	May	0.22	0.3	0.4	0.2
8:30 AM	CPI y/y	May	4.3	4.2	3.8	4.2
8:30 AM	Core CPI y/y	May	2.8	2.9	2.8	2.9
8:30 AM	CPI Index NSA	May	335.250	335.143	333.020	335.1
2:00 PM	Federal Budget Balance	May		-283.1	215.0	-292.6
Thursday 11 June	Data	Period	Forecast	Consensus	Prev	Actual
8:30 AM	Initial Jobless Claims	6-Jun	220	220.0	225	229
8:30 AM	Continuing Claims	30-May	1785	1785.0	1777	1795
8:30 AM	PPI Final Demand m/m	May		0.7	1.4	1.1
8:30 AM	PPI Ex Food, Energy, Trade m/m	May		0.4	0.6	0.8
8:30 AM	PPI Final Demand y/y	May		6.4	6.0	6.5
8:30 AM	PPI Ex Food, Energy, Trade y/y	May		4.8	4.4	5.1
10:00 AM	Quarterly Services Survey					
12:00 PM	Household Change in Net Worth	1Q	-1500		2173	113
4:30 PM	Fed balance sheet (H.4.1)					
Friday 12 June	Data	Period	Forecast	Consensus	Prev	Actual
10:00 AM	U. of Mich. Sentiment	Jun P		46.0	44.8	
10:00 AM	U. of Mich. 5-10 Yr Inflation	Jun P		3.9	3.9	
4:15 PM	Commercial bank balance sheets (H.8)	29-May				

Source: Bloomberg, Morgan Stanley Research forecasts

Preview of upcoming data

Exhibit 19: Monday

Monday 15 June	Data	Period	Forecast	Consensus	Prev
8:30 AM	Empire Manufacturing	Jun		12.5	19.6
9:15 AM	Industrial Production m/m	May	-0.1	0.2	0.7
9:15 AM	Manufacturing Production m/m	May	-0.1	0.3	0.6
9:15 AM	Capacity Utilization	May		76.2	76.1
10:00 AM	NAHB Housing Market Index	Jun		36.0	37.0

Source: Bloomberg, Morgan Stanley Research forecasts

Industrial production likely slipped 0.1% m/m in May. Motor vehicle output was likely a slight drag, and we forecast stalled nonauto manufacturing output. This looks like a temporary pause: growth has been solid, and the factory surveys do not suggest a change in trend.

National Assoc. of Homebuilders builder confidence index has risen from mid-2025 lows

but remains unusually depressed.

Empire manufacturing. The May ISM manufacturing PMI was stronger than expected. Both the national and regional surveys show strong production and demand, while employment remained soft. We also see price deceleration in some areas and acceleration in others. We expect the manufacturing sector to remain resilient in June, and we initiate our June ISM manufacturing PMI tracking estimate at 53.8.

Exhibit 20: Tuesday

Tuesday 16 June	Data	Period	Forecast	Consensus	Prev
8:15 AM	ADP Weekly Employment Change	30-May			29.0
8:30 AM	Import Price Index m/m	May			2
8:30 AM	Import Price Index y/y	May			4
8:30 AM	Export Price Index m/m	May			3
8:30 AM	New York Fed Services Business Activity	Jun			-5.8
8:30 AM	Export Price Index y/y	May			8.8
8:30 AM	Housing Starts	May	1395	1430	1465
8:30 AM	Housing Starts m/m	May	-4.8	-1.7	-2.8
8:30 AM	Building Permits	May P	1437	1435	1423
8:30 AM	Building Permits m/m	May P	1.0		4.4

Source: Bloomberg, Morgan Stanley Research forecasts

Housing starts. Single-family starts are running high relative to permits. We expect further payback in May, with a slight decline to 915k. The housing market index rose slightly in May but remains weak; we expect just a slight pickup in single-family permits to 895k. We expect multifamily permits are unchanged but starts decline after a strong April.

Exhibit 21: Wednesday

Wednesday 17 June	Data	Period	Forecast	Consensus	Prev
7:00 AM	MBA Mortgage Applications	12-Jun			10.8
8:30 AM	Retail Sales Advance m/m	May	0.5	0.5	0.5
8:30 AM	Retail Sales Ex Auto m/m	May	0.6	0.4	0.7
8:30 AM	Retail Sales Control Group	May	0.2	0.4	0.5
10:00 AM	Business Inventories	Apr			0.9
10:00 AM	Pending Home Sales m/m	May			1.4
10:00 AM	Pending Home Sales NSA y/y	May			3.3
2:00 PM	FOMC Rate Decision (Upper Bound)	17-Jun	3.750	3.750	3.750

Source: Bloomberg, Morgan Stanley Research forecasts

Retail sales. We forecast that headline retail sales rose 0.5% m/m for the month of May, boosted by another strong month of sales at gasoline stations. We expect that control group retail sales were up 0.2% m/m, auto sales rose 0.4%, and sales at restaurants were up 0.5%. Sales of building materials are expected to have decelerated in May (-0.3%). For the control group, growth in nominal labor market income is supportive, and credit/debit card transactions May data show some recovery after a very soft April. We estimate the growth of control group prices for May is -0.1%.

Pending home sales. Pending home sales have risen the past few months, and the recent pickup in existing home sales in May brought the two measures back in-line. Home sales overall are still within their low range of the past few years.

FOMC meeting, Chairman Warsh's first. We expect the Fed to hold rates unchanged in June, with no dissents. In the statement, we expect new recognition of faster payroll gains. We also expect the FOMC to drop the easing bias, instead saying something like "in considering any adjustments to the target range..."

In the SEP, we expect the median dot to show no cuts this year, one cut in 2027, and one

cut in 2028.

First press conferences can be uneven. There's a greater chance of miscommunication and subsequent correction. We expect Warsh to describe an uncertain economic outlook, to point out that heightened uncertainty argues for patience in policymaking, and to say that the FOMC believes the current stance of policy is appropriate.

How much guidance he is willing to give is an important question, as he has leaned against guidance in commentary in the past.

Exhibit 22: Thursday

Thursday 18 June	Data	Period	Forecast	Consensus	Prev
8:30 AM	Initial Jobless Claims	13-Jun	226		0.0
8:30 AM	Philadelphia Fed Business Outlook	Jun		12.0	-0.4
8:30 AM	Continuing Claims	6-Jun	1875		0.0
10:00 AM	Leading Index	May			0.1
4:00 PM	Total Net TIC Flows	Apr			150.7
4:00 PM	Net Long-term TIC Flows	Apr			81.3

Source: Bloomberg, Morgan Stanley Research

Jobless claims. The four-week average of jobless claims has risen 10k from a month ago. Some of the rise looks like distortion from seasonal factors: the sum of state claims has not risen as much and it diverged similarly last year at this time. We do not yet forecast retracement.

Exhibit 23: Friday

Friday 19 June	Data	Period	Forecast	Consensus	Prev
	No scheduled data or Fedspeak				

Source: Bloomberg, Morgan Stanley Research

Data calendar

Exhibit 24: June 15 - June 26

<i>Monday</i>	<i>TUESDAY</i>	<i>WEDNESDAY</i>	<i>THURSDAY</i>	<i>FRIDAY</i>
15	16	17	18	19
Empire Manufacturing (Jun, 8:30 AM) Industrial Production (May, 9:15 AM) NAHB Housing Market Index (Jun, 10 AM)	ADP Weekly Employment Change (Wk of 5/30, 8:15 AM) Import & Export Prices (May, 8:30 AM) NY Fed Services Business Activity (Jun, 8:30 AM) Housing Starts & Building Permits (May, 8:30 AM) 20-Year Bond Auction (1 PM)	MBA Mortgage Applications (Wk of 6/12, 7 AM) Retail Sales (May, 8:30 AM) Business Inventories (Apr, 10 AM) Pending Home Sales (May, 10 AM) FOMC Rate Decision (2 PM)	Jobless Claims (Wk of 6/13, 8:30 AM) Philadelphia Fed Manufacturing (Jun, 8:30 AM) Leading Index (May, 10 AM) 5-Year TIPS Auction (1 PM) TIC data (Apr, 4 PM)	
22	23	24	25	26
	ADP Weekly Employment Change (Wk of 6/6, 8:15 AM) Philadelphia Fed Non-Manufacturing Activity (Jun, 8:30 AM) S&P Flash Manuf. (Jun P, 9:45 AM) S&P Services PMI (Jun P, 9:45 AM) Richmond Fed Manuf. Index (Jun, 10 AM) 2-Year Notes Auction (1 PM)	MBA Mortgage Applications (Wk of 6/19, 7 AM) Current Account Balance (1Q, 8:30 AM) New Home Sales (May, 10 AM) 2-Year FRN Auction (11:30 AM) 5-Year Notes Auction (1 PM)	Personal Income and Outlays (May, 8:30 AM) Chicago Fed Nat Activity Index (May, 8:30 AM) Durable Orders (May P, 8:30 AM) Jobless Claims (Wk of 6/20, 8:30 AM) GDP (1Q T, 8:30 AM) Kansas City Fed Manf. Activity (Jun, 11 AM) 7-Year Notes Auction (1 PM) Fed's Goolsbee Speaks (6:30 PM)	Bloomberg June United States Economic Survey (6 AM) Advance Goods Trade Balance (May, 8:30 AM) Wholesale and Retail Inventories (May, 8:30 AM) U. of Mich. Consumer Sentiment (Jun F, 10 AM) Kansas City Fed Services Activity (Jun, 11 AM)

Note: For updates post-publication of the Treasury Auction Schedule, see [here](#). Source: Bloomberg, Morgan Stanley Research

US economic outlook

Exhibit 25: Morgan Stanley forecasts

	4Q/4Q % change			Quarterly % change, annual rate (unless otherwise noted)									
	2025A	2026E	2027E	3Q25A	4Q25A	1Q26A	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E
Real GDP	2.0	2.2	2.6	4.4	0.5	1.6	2.3	2.3	2.5	2.4	2.6	2.6	2.6
Final Sales ¹	2.2	2.1	2.3	4.5	0.3	1.5	2.3	2.2	2.4	2.1	2.4	2.4	2.4
Final Domestic Demand²	1.8	2.4	2.8	2.8	0.6	2.7	2.2	2.3	2.3	2.6	2.8	2.8	2.8
Final Private Domestic Demand ³	2.4	2.5	3.1	2.9	1.8	2.4	2.4	2.5	2.5	2.8	3.1	3.1	3.2
Personal Consumption Expenditures	2.1	1.7	2.1	3.5	1.9	1.4	1.7	1.9	1.9	1.8	2.2	2.2	2.2
– Goods	1.4	0.7	1.6	3.0	0.3	0.4	0.5	1.0	1.0	1.2	1.7	1.7	1.7
– Services	2.4	2.2	2.3	3.6	2.7	1.8	2.3	2.3	2.3	2.1	2.4	2.4	2.4
Nonresidential Fixed Investment	5.6	6.9	7.9	3.2	2.4	10.1	5.8	5.9	5.9	7.9	7.9	8.0	8.0
– Structures	-5.5	-3.6	2.0	-5.0	-6.5	-5.4	-3.0	-3.0	-3.0	2.0	2.0	2.0	2.0
– Equipment	9.6	10.2	10.5	5.2	4.3	17.2	8.0	8.0	8.0	10.5	10.5	10.5	10.5
– IPP	8.0	8.9	8.0	5.6	5.4	11.6	8.0	8.0	8.0	8.0	8.0	8.0	8.0
Residential Investment	-3.8	-0.9	1.5	-7.1	-1.7	-6.2	1.0	1.0	1.0	1.5	1.5	1.5	1.5
Exports	1.1	4.2	1.8	9.6	-3.2	13.1	0.0	1.0	2.5	1.8	1.8	1.8	1.8
Imports	-1.9	6.2	5.0	-4.4	-1.0	21.1	-0.1	2.0	2.0	5.0	5.0	5.0	5.0
Government	-1.2	2.2	1.3	2.2	-5.6	4.4	1.4	1.4	1.4	1.3	1.3	1.3	1.3
Inventory contribution (pct pts, a.r.)	-0.2	0.1	0.2	-0.1	0.1	0.1	0.0	0.0	0.0	0.2	0.2	0.2	0.2
Trade contribution (pct pts, a.r.)	0.4	-0.4	-0.4	1.6	-0.2	-1.3	0.0	-0.2	0.0	-0.5	-0.5	-0.5	0.0
Nominal GDP (Current \$)	5.4	5.3	4.7	8.3	4.2	5.1	7.5	4.3	4.4	4.9	4.5	4.6	4.9
Nominal Consumption	5.0	5.1	4.3	6.3	4.9	6.0	7.1	3.7	3.6	4.5	3.9	4.0	4.5
Employment & Personal Income													
Civilian Unemployment Rate (%)	4.5	4.3	4.1	4.3	4.5	4.3	4.3	4.3	4.3	4.3	4.2	4.2	4.1
Civilian Labor Force Participation Rate (%)	62.5	61.8	61.7	62.3	62.5	62.0	61.9	61.8	61.8	61.8	61.7	61.7	61.7
Employment to Population Ratio (%)	59.7	59.2	59.1	59.6	59.7	59.3	59.2	59.2	59.2	59.1	59.1	59.1	59.1
Average Monthly Change in Nonfarm Payrolls (Thous.)	10	43	60	23	-39	68	42	30	30	60	60	60	60
Real DPI	1.0	1.2	1.7	1.0	-0.9	0.8	-0.4	1.8	2.4	1.3	1.4	2.2	2.0
Saving rate (%)	3.8	3.3	2.9	4.4	3.8	3.7	3.1	3.1	3.3	3.1	2.9	3.0	2.9
Business Indicators													
Industrial Production	1.5	2.4	2.5	2.1	-2.0	7.5	0.3	0.9	1.1	2.4	2.5	2.5	2.5
Productivity	2.5	1.7	2.1	5.2	1.6	1.1	2.0	1.7	1.9	1.9	2.2	2.2	2.2
Inflation (quarterly % change, a.r.)													
Consumer Price Index				3.1	2.5	3.6	6.9	1.8	1.7	2.6	1.5	1.7	2.7
CPI ex Food & Energy				3.2	2.0	2.8	3.2	2.4	2.3	3.0	1.9	2.3	2.8
PCE Price Index				2.8	2.9	4.6	5.2	1.8	1.7	2.7	1.7	1.8	2.3
PCE ex Food & Energy				2.9	2.7	4.4	3.2	2.2	2.0	2.9	2.0	2.1	2.4
Inflation (4-quarter % change)													
Consumer Price Index	2.7	3.4	2.1	2.9	2.7	2.7	4.0	3.7	3.4	3.2	1.9	1.9	2.1
CPI ex Food & Energy	2.7	2.7	2.5	3.1	2.7	2.5	2.8	2.6	2.7	2.7	2.4	2.4	2.5
PCE Price Index	2.8	3.3	2.1	2.7	2.8	3.1	3.9	3.6	3.3	2.8	2.0	2.0	2.1
PCE ex Food & Energy	2.9	2.9	2.4	2.9	2.9	3.1	3.3	3.1	2.9	2.6	2.3	2.3	2.4
Monetary Policy													
Fed Funds Target (% , midpoint of target range)	3.625	3.625	3.125	4.125	3.625	3.625	3.625	3.625	3.625	3.375	3.125	3.125	3.125
Fiscal Policy													
Federal Budget balance (% of GDP)	-5.4	-6.3	-6.1										

1) GDP less contribution from inventory investment

2) GDP less contributions from inventory investment and trade

3) GDP less contributions from inventory investment, trade, and the government sector. (Private final consumption plus investment.)

Source: Bureau of Economic Analysis, Bureau of Labor Statistics, Federal Reserve, Census Bureau, Treasury Dep't, Morgan Stanley Research forecasts

Exhibit 26: Monthly inflation forecasts

	% Change - Year-over-Year				% Change - Month-over-Month				Headline CPI NSA Index
	Headline PCE	Core PCE	Headline CPI	Core CPI	Headline PCE	Core PCE	Headline CPI	Core CPI	
Jan-25	2.6	2.8	3.0	3.3	Jan-25	0.37	0.31	0.43	317.671
Feb-25	2.7	3.0	2.8	3.1	Feb-25	0.40	0.45	0.23	319.082
Mar-25	2.4	2.7	2.4	2.8	Mar-25	0.02	0.10	0.03	319.799
Apr-25	2.3	2.6	2.3	2.8	Apr-25	0.17	0.19	0.16	320.795
May-25	2.5	2.8	2.4	2.8	May-25	0.18	0.23	0.10	321.465
Jun-25	2.6	2.8	2.7	2.9	Jun-25	0.29	0.26	0.25	322.561
Jul-25	2.6	2.9	2.7	3.1	Jul-25	0.17	0.25	0.23	323.048
Aug-25	2.7	2.9	2.9	3.1	Aug-25	0.26	0.22	0.35	323.976
Sep-25	2.8	2.8	3.0	3.0	Sep-25	0.26	0.19	0.30	324.800
Oct-25	2.7	2.8	2.9	2.8	Oct-25	0.19	0.23	0.13	#N/A
Nov-25	2.8	2.8	2.7	2.6	Nov-25	0.22	0.18	0.13	324.122
Dec-25	2.9	3.0	2.7	2.6	Dec-25	0.33	0.33	0.30	324.054
Jan-26	2.9	3.1	2.4	2.5	Jan-26	0.36	0.46	0.17	325.252
Feb-26	2.9	3.1	2.4	2.5	Feb-26	0.40	0.40	0.27	326.785
Mar-26	3.6	3.3	3.3	2.6	Mar-26	0.66	0.30	0.87	330.213
Apr-26	3.8	3.3	3.8	2.7	Apr-26	0.40	0.23	0.64	333.020
May-26	4.1	3.4	4.2	2.8	May-26	0.49	0.36	0.47	335.123
Jun-26	3.8	3.3	3.9	2.8	Jun-26	0.03	0.17	-0.05	335.248
Jul-26	3.8	3.3	3.7	2.7	Jul-26	0.10	0.18	0.06	335.183
Aug-26	3.7	3.2	3.5	2.5	Aug-26	0.17	0.17	0.20	335.657
Sep-26	3.6	3.2	3.5	2.5	Sep-26	0.20	0.18	0.25	336.343
Oct-26	3.5	3.1	3.3	2.6	Oct-26	0.04	0.14	-0.01	335.773
Nov-26	3.4	3.1	3.4	2.7	Nov-26	0.13	0.15	0.15	335.257
Dec-26	3.2	2.9	3.3	2.7	Dec-26	0.20	0.15	0.27	335.085
Jan-27	3.2	2.8	3.4	2.7	Jan-27	0.30	0.37	0.24	336.565
Feb-27	2.9	2.6	3.3	2.7	Feb-27	0.15	0.21	0.13	337.687
Mar-27	2.5	2.5	2.6	2.7	Mar-27	0.20	0.16	0.24	339.112
Apr-27	2.2	2.4	2.0	2.5	Apr-27	0.10	0.16	0.06	340.022
May-27	1.8	2.2	1.6	2.4	May-27	0.12	0.15	0.09	340.864
Jun-27	1.9	2.2	1.8	2.3	Jun-27	0.14	0.15	0.13	341.598
Jul-27	1.9	2.2	1.8	2.3	Jul-27	0.10	0.18	0.06	341.533
Aug-27	1.9	2.2	1.9	2.4	Aug-27	0.20	0.20	0.24	342.138
Sep-27	1.9	2.2	1.9	2.4	Sep-27	0.22	0.20	0.28	342.960
Oct-27	2.0	2.3	2.0	2.4	Oct-27	0.13	0.20	0.11	342.793
Nov-27	2.1	2.3	2.1	2.5	Nov-27	0.20	0.20	0.24	342.576
Dec-27	2.2	2.4	2.2	2.5	Dec-27	0.27	0.20	0.36	342.729

Source: BLS, BEA, Morgan Stanley Research forecasts

US Outlook Scenarios

Exhibit 27: Morgan Stanley US Economics baseline and alternative outlooks for the US Economy: 2026, and 2027

	Aggregate Demand Shock: Animal Spirits (15%)	AI Productivity Boost with Labor Displacement (10%)	De-escalation: Mild Energy Headwind (40%)	Permanent Oil Premium Regime (20%)	Global Oil-Led Recession (15%)
Key Forecasts					
GDP growth	The oil shock abates. Elevated wealth supports consumption and "animal spirits" keep business spending elevated. GDP grows 2.9% in 2026 and 3.1% in 2027, 0.5-1.0pp faster than the baseline.	GDP growth is steady, rising 2.2% 4Q/4Q in 2026 and 2.1% in 2027. Strong business spending is offset somewhat by weaker labor markets and low consumer confidence. Despite softer inflation in 2027, consumer spending stays sluggish as labor displacement mounts.	High oil prices act as a tax on consumption, neutralizing stimulus from higher tax refunds in the OBBBA. AI capex spending remains robust. Real growth held back to 2.3% (4Q/4Q) in 2026 before rebounding to 2.6% in 2027.	Oil prices average \$120/bbl in 2026 and \$100/bbl in 2027. Strategic stockpiling occurs amid a repricing of geopolitical risk in oil logistics. Mild demand destruction occurs. Real GDP grows in 3Q and 4Q 2026. Real GDP rises 2.0% in 2026 (4Q/4Q) before a 2.4% rebound in 2027.	Oil prices average \$140-160/bbl through 3Q and end the year at \$100/bbl. Supply shortages ensue, and demand destruction occurs. The result: mild recession with two quarters of negative GDP growth in 3Q and 4Q 2026. Real GDP rises only 0.1% in 2026 (4Q/4Q) before a 2.5% rebound in 2027.
Labor markets	Stronger demand results in tighter labor markets. The unemployment rate falls to 3.9% in 2026 and 3.5% in 2027.	The economy experiences a prolonged period of net zero job creation. The separation rate edges higher, but widespread layoffs are avoided. The unemployment rate creeps higher, rising to 4.8% in 2027, 0.8pp above our baseline outlook.	The "curious balance" continues. Average monthly payroll gains slow to 43k this year and firm modestly to 60k next year. Labor demand remains soft on geopolitical uncertainty. Less immigration means a lower breakeven rate of hiring. The unemployment rate finishes 2026 at 4.3% and 2027 at 4.1%.	The "curious balance" continues. Average monthly payroll gains slow to 30k this year and firm modestly to 50k next year. Labor demand remains soft on geopolitical uncertainty. Less immigration means a lower breakeven rate of hiring. The unemployment rate finishes 2026 at 4.3% and 2027 at 4.2%.	Payrolls fall an average of 30k per month in 2026 with declines near 200k in Q4. In 2027, payrolls rebound, but bring the unemployment rate down slowly. The unemployment rate rises to 5.5% this year and 5.3% next year.
Inflation	Even with the oil shock dissipating, inflation pressures step-up. Headline inflation is 3.7% in 2026 and 2.7% in 2027. Core PCE inflation firms through Q1 27, prompting Fed hikes, which subsequently slow inflation.	Inflation rises on account of higher energy prices, but weak labor markets and slow wage growth provide offset. Headline inflation peaks at 3.8% y/y in 2Q 2026 – similar to the baseline – and finishes the year at 3.3%. Inflation falls back to the 2.0% target in 2027.	High inflation in 2026 dissipates in 2027. Energy prices push headline PCE inflation to 3.2% 4Q/4Q in 2026. Headline and core PCE decelerate to 2.0% and 2.3% 4Q/4Q in 2027 as the oil shock fades. Energy is a headline story with no second-round effects on core.	Two more years of above-target inflation. Energy prices push headline PCE inflation to 3.8% 4Q/4Q in 2026, while core moves sideways at 3.1% on tariff push and second round effects from the oil shock. Headline and core PCE decelerate to 2.2% and 2.8% 4Q/4Q in 2027 as the oil shock fades.	Headline inflation surges to 5.1% y/y in 3Q 2026 and 4.5% at year-end on elevated oil prices. On weaker demand, inflation decelerates to 1.1% in 2027.
Federal reserve policy	Hikes to counter inflation. The Fed raises rates by 100bp beginning in 4Q 2026 to 4.50-4.75%, more than reversing the 75bp in pre-emptive cuts to support the labor market in 2025.	Labor displacement leads to cuts. Above-target inflation keeps the Fed on the sidelines in 2026, but a rising unemployment rate leads the Fed to cut by 75bp in 2027 to a target range of 2.75-3.0%.	Normalization continues in 2027. Above-target inflation keeps the Fed on the sidelines in 2026, but falling y/y rates of inflation toward 2.0% leads the Fed to cut by 50bp in 2027 to a target range of 3.0-3.25%.	A prolonged pause. Inflation persistence means a high bar for cuts. Tariff effects must prove transitory, and energy-driven inflation must show a clear reversal before cuts are considered. The Fed maintains the target range of 3.50-3.75% through the end of 2027.	The Fed shifts to cuts as downside risks to growth mount. 200bp in 2026 and a terminal of 1.50-1.75%. 100bp of hikes in 2027 for a target range of 2.50-2.75% in 4Q 2027. No QE.
Key Forecasts					
Consumer spending	Better than expected equity market returns and a rebound in labor markets boost consumption to around 3.0% in 2026 and back to near 2.0% in 2027. Upper-income consumers drive much of the spending, but nominal wage growth supports low- and middle-income spending.	Consumption rises 1.6% in 2026 and 1.5% in 2026. High gas prices weaken goods consumption in 2026. Soft labor market conditions and fears of AI displacement make consumers turn cautious in 2027 despite improving real spending power from decelerating inflation.	Consumption slows to 1.8% in 2026 as high gasoline prices weigh on goods spending. A resilient economy supports wealth effects from upper income consumers. In 2027, consumption rebounds to 2.1% 4Q/4Q as inflation decelerates.	Consumption slows to 1.4% in 2026 as high gasoline prices weigh on goods spending. In 2027, consumption rebounds to 2.2% 4Q/4Q as inflation decelerates and a recession is avoided.	Consumption falls from 3Q 2026 to 4Q 2026 before a gradual reacceleration. Households cut back on durable goods spending. Negative wealth effects lead upper-income consumers to pull back, with spillover into broader spending.
Nonresidential fixed investment	Business spending broadens out beyond AI, due to animal spirits and fiscal support.	Similar to the baseline. AI-related spending remains robust, leading nonresidential fixed investment to rise 7.0% in 2026 and 8.0% in 2027. AI adoption rates rise and firms realize productivity gains.	AI-related spending remains robust, leading nonresidential fixed investment to rise 7.0% in 2026 and 8.0% in 2027. Sentiment around AI capex is not dented by geopolitical concerns.	AI-related spending remains strong, leading nonresidential fixed investment to rise 6.0% in 2026 and 7.0% in 2027. Sentiment is somewhat dented by geopolitical concerns and elevated energy costs.	A retrenching business sector cuts employment and capex. Investment declines throughout 2H and into Q1 2027, followed by recovery.
Residential investment	Stronger growth is balanced by higher rates in 2026, resulting in still limited housing activity over the forecast horizon.	Housing activity remains sluggish in both 2026 and 2027, despite lower interest rates. Improved affordability is offset by softening labor market conditions.	Housing remains "stuck" due to low affordability and limited inventory. Residential investment falls 1.3% in 2026 and rises 1.5% in 2027.	Housing remains "stuck" due to low affordability and limited inventory. High inflation and no Fed cuts mean higher mortgage rates. Residential investment falls 1.8% in 2026 and is flat in 2027.	Housing activity is weak in 2026 on the back of slower growth and weak labor markets. Activity picks up in 2027 as growth recovers and low rates spur demand.
Net trade	Imports are strong with strong demand, resulting in a larger drag on GDP and a wider trade deficit.	Relative to the baseline, imports are softer. AI-related imports are robust, but imports of consumer goods are more muted on the back of softer household spending. Net trade subtracts 0.2pp from growth in 2026 and 2027.	Imports are strong with strong demand, thus a larger drag on GDP. Imports rise 6.3% in 2026 and 5.0% in 2027. Exports rise 4.1% and 1.8%. After adding 0.4pp to growth in 2025, net trade subtracts 0.4pp from growth in 2026 and 2027.	Imports rise 5.3% in 2026 and 4.0% in 2027. Exports rise 3.0% and 1.0%. Net trade subtracts 0.4pp from growth in 2026 and 2027.	Imports and exports both fall over the next few quarters as demand falls and slow global growth limits export demand. Net trade contributes positively to growth in 2026.
Fiscal policy	Fiscal multipliers are higher than in the baseline, resulting in higher contribution to growth. With stronger growth, fiscal deficits decline. The deficit as a percent of GDP is 5.7% in 2026 and 5.6% in 2027.	Similar to the baseline. A softer labor market means slightly less revenue growth and more automatic stabilizers. The deficit is 6.3% of GDP in 2026 and 2027.	The fiscal impulse in the OBBBA is neutralized by higher gasoline prices. The midterm elections bring divided government, leading to budget gridlock and large deficits at about 6.0% of GDP.	Higher gas prices more than offset the growth effects of the OBBBA. The midterm elections bring divided government, leading to budget gridlock and large deficits at about 6.3% of GDP.	Deficits rise further as tax receipts decelerate and automatic stabilizers boost transfer payments. Defense spending picks up. The deficit as a percent of GDP is 6.9% in 2026 and 6.7% in 2027.
Credit conditions	Credit conditions loosen somewhat on the heels of stronger growth and animal spirits. Bank lending accelerates.	Credit conditions bifurcate, with willingness to lend to consumers worsening amid solid growth in C&I lending.	The pace of tightening in lending standards has slowed. Geopolitical uncertainty keeps conditions tighter over the course of the year, though we see modest easing over the forecast horizon.	Geopolitical uncertainty keeps conditions modestly tighter over the forecast horizon.	Credit conditions tighten further as the economy contracts. By late this year, the Fed has eased policy enough to encourage some new credit supply but demand remains weak.
Productivity growth	Similar productivity growth as the baseline, even with stronger employment growth.	Similar productivity growth as the baseline, only with greater labor displacement.	Productivity rises 2.1% in 2027. AI capex keeps output per hour elevated in high-tech industries. Productivity gains are from higher output, not less employment.	Productivity rises 1.7% in 2027. Less robust AI-related spending limits productivity growth in the short-run.	With rapid declines in output, productivity falls over the next few quarters. Productivity then begins to recover in 2027.
Consumer and business confidence	Confidence rebounds across the course of the year, and further in 2027.	Labor displacement pushes consumer confidence down further, testing new lows. Business optimism remains elevated.	Confidence of households and business remains near 2022-2023 lows on account of low labor demand, high inflation, and elevated uncertainty.	Confidence of households and business remains near 2022-2023 lows on account of low labor demand, high inflation, and elevated uncertainty.	Recession pushes confidence down further, testing new lows.

Source: Morgan Stanley Research forecasts

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